

# Tanker Shipping

## Bi-Weekly Industry Report

June 16, 2026

- VLCC ex-Gulf Continues to Soften as Balance Tilts** – The VLCC market is increasingly transitioning from a disruption-driven environment toward one dictated by underlying supply-demand fundamentals. **Freight rates have softened across major long-haul routes, especially West of Suez**, reflecting the gradual erosion of the geopolitical premium that supported earnings during the Middle East disruption. Recent progress toward a U.S.-Iran agreement and expectations for a reopening of the Strait of Hormuz have reinforced this normalization trend. Brent crude has fallen sharply as markets anticipate a recovery in Gulf export flows and lower disruption risks. Against this backdrop, VLCC fleet growth remains the key medium-term concern. **Newbuilding activity continues** at an exceptional pace, driven by attractive economics relative to secondhand values and the need to renew an aging fleet. The **VLCC orderbook has expanded from nonexistent to roughly 35%** of the existing fleet, raising the risk that vessel supply growth outpaces cargo demand growth over the next several years. While freight markets remain elevated by historical standards, earnings **outside the Arabian Gulf have already retreated** below the highs seen during the disruption period. Assuming no renewed regional escalation, the **second half** of the year is likely to be characterized by further **normalization**, with freight increasingly exposed to rising fleet capacity and more modest oil demand growth.
- Oil Prices Drop to 2-month Lows as Piece Deal Emerges** – The recent initial agreement between the United States and Iran has pushed oil prices down to their lowest levels since the conflict's onset, as **markets price in expected normalizations in crude flows**. While global oil inventories face significant near-term declines due to the long lead times required to reopen the Strait of Hormuz, the market anticipates that increased supply will ultimately improve. However, this assumption relies heavily on unresolved variables; therefore, we **maintain our outlook** that strong economic demand will keep oil **prices between \$80 and \$90** per barrel for the remainder of the year assuming there is a smooth development in the current agreement framework. This sustained price level is further supported by projected global inventory drawdowns approaching 2 billion barrels, which will reduce reserves to multi-decade lows.
- Our Long-term View** – The tanker market has been recovering from a long period of staggered rates as the growth in new vessel supply shrunk while oil demand remained elevated in line with the global economy. The recent rapid increase in freight rates has led to significant new vessel ordering, with the orderbook now standing at well above average levels, and although in the near term such a supply/demand misbalance is small, we expect a meaningful negative balance to develop longer term leading to a industry downcycle.

### Short-term Indicators

Momentum: **Neutral**  
 Sentiment: **Neutral**  
 Fundamentals: **Neutral**

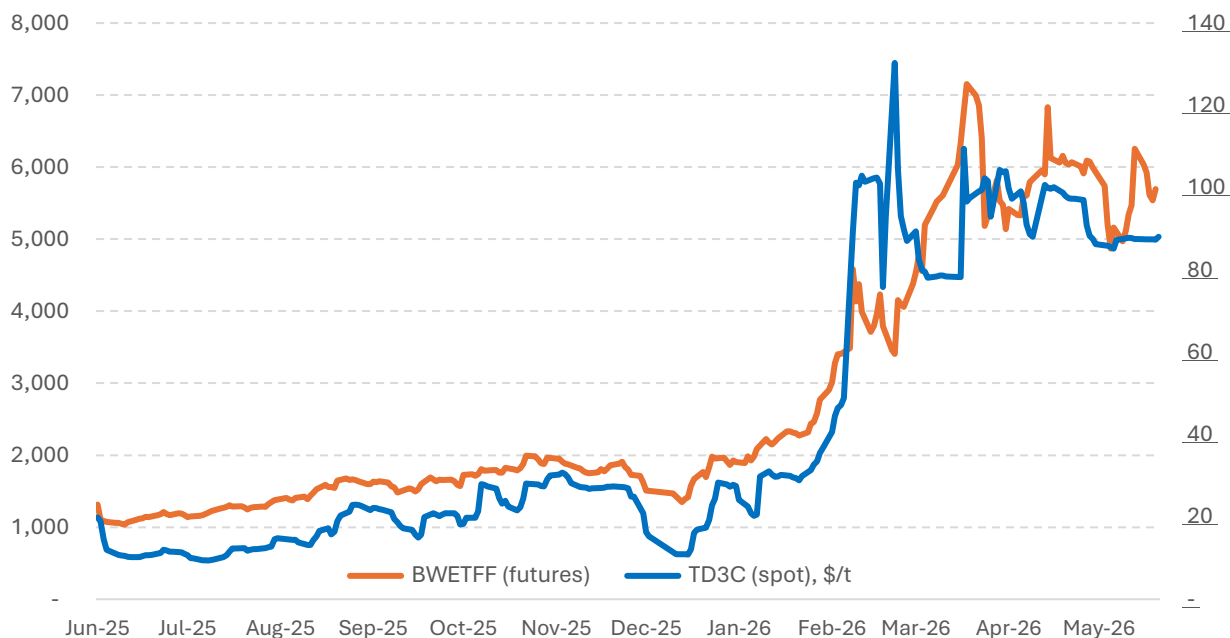
**Breakwave Tanker Futures Index:** **5535**  
 30D: -7.9% ↓  
 YTD: 276.8% ↑  
 YOY: 386.8% ↑

**VLCC Middle East-Asia Spot Rates:** **81.85**  
 30D: -9.5% ↓  
 YTD: 475.0% ↑  
 YOY: 604.3% ↑

Reuters: **BWET.K**  
 Bloomberg: **BWET US**  
 Exchange: **NYSE**

Breakwave Advisors Research  
[research@breakwaveadvisors.com](mailto:research@breakwaveadvisors.com)

### VLCC Spot Index (TD3C) vs Breakwave Tanker Futures Index (BWETFF)



The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.

## Tanker Fundamentals

| Demand                      | YTD           | YOY    |
|-----------------------------|---------------|--------|
| World Oil Demand            | 105,745 kbpd  | 0.3%   |
| Oil Supply, OPEC            | 16,330 kbpd   | -40.9% |
| Oil Supply, non-OPEC        | 73,671 kbpd   | 0.5%   |
| OECD Total Crude Oil Stocks | 1053.1 MMbbls | 0.0%   |
| US Crude Oil Exports        | 60.2 MMbbls   | -2.0%  |
| China Oil Imports           | 797.5 MMbbls  | 1.8%   |
| Global Crude Oil On Water   | 1244.9 MMbbls | 7.1%   |

### Supply

|              |            |      |
|--------------|------------|------|
| Tanker Fleet | 726.7 mdwt | 3.7% |
|--------------|------------|------|

### Freight Rates

|                                     |       |        |
|-------------------------------------|-------|--------|
| VLCC Middle East-Asia, USD/ton      | 64.27 | 401.1% |
| Suezmax West Africa-Europe, USD/ton | 36.71 | 124.7% |

**Note:** All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals

**Sources:** Bloomberg, IEA, Clarksons and Breakwave Advisors

**Disclaimer:** This research report has been prepared by Breakwave Advisors LLC solely for general information purposes and for the recipient's internal use only. This report does not constitute and will not form part of and should not be construed as a solicitation of any offer or advice to buy or sell any security, commodity or instrument or related derivative or to participate in any trading or investment strategy. The opinions and estimates included herein reflect views and available information as of the dates specified and may have been and may be subject to change without notice. An investment in BDRY and/or BWET ("the Funds") involves significant risks. You could lose all or part of your investment in the Funds, and each of the Fund's performance could trail that of other investments. The value of the Shares of the Funds relates directly to the value of, and realized profit or loss from, the Freight Futures and other assets held by the Fund, and fluctuations in price could materially affect the Funds' shares. Investments in freight futures typically fluctuate in value with changes in spot charter rates. Charter rates for dry bulk and tanker vessels are volatile and have declined significantly since their historic highs and may remain at low levels or decrease further in the future. The Funds will not take defensive positions to protect against declining freight rates, which could cause a decline to the value of the Funds' shares. The Funds are not a mutual funds or any other type of investment company within the meaning of the Investment Company Act of 1940, as amended, and are not subject to regulation thereunder.

Please visit [www.breakwaveadvisors.com/disclosures](http://www.breakwaveadvisors.com/disclosures)